

The complaint

Mr R complains that Monzo Bank Ltd did not refund a series of payments he lost to a scam.

What happened

Both parties are aware of the circumstances of the complaint, so I won't repeat them again in detail here. In summary, Mr R was the victim of an investment scam in which he was convinced to send the following amounts to a scammer:

- 12/6/23 - £1,000
- 13/6/23 - £2,625
- 13/6/23 - £3,000

Mr R raised a scam claim with Monzo, but they did not agree to refund him. However, they did pay him £100 compensation for the delay in responding to his claim. Mr R referred the complaint to our service and our Investigator reviewed it. They did not agree that intervention from Monzo prior to the payments being processed would have revealed the scam, so did not recommend a refund. Mr R did not agree with the findings and highlighted his medical issues and the ways in which they had affected his ability to make decisions related to the scam. He provided evidence of these medical issues.

I issued a provisional decision upholding the complaint which I have set out below; please note some information has been redacted for data protection:

I'm satisfied Mr R was the victim of an investment scam and I'm sorry he's gone through this experience. The transactions in question fall under the Contingent Reimbursement Model ("CRM") Code, which provides additional protection to victims of authorised push payment ("APP") scams. While Monzo is not a signatory to the voluntary scheme, they have agreed to abide by the principles of it. So, I have assessed the transactions in line with the Code.

The CRM Code requires firms to assess whether a customer was vulnerable to the APP scam they fell victim to at the time it occurred. The relevant sections state:

"A Customer is vulnerable to APP scams if it would not be reasonable to expect that Customer to have protected themselves, at the time of becoming victim of an APP scam, against that particular APP scam, to the extent of the impact they suffered.

This should be assessed on a case-by-case basis.

In these circumstances, the Customer should be reimbursed notwithstanding the provisions in R2(1), and whether or not the Firm had previously identified the Customer as vulnerable. [...]

Factors to consider include:

(a) All Customers can be vulnerable to APP scams and vulnerability is dynamic. The reasons for dynamics of vulnerability may include: the personal circumstances of the

Customer; the timing and nature of the APP scam itself; the capacity the Customer had to protect themselves; and the impact of the APP scam on that Customer

(b) A Customer's personal circumstances which lead to vulnerability are varied, may be temporary or permanent, and may vary in severity over time

(c) APP scams may include long-running APP scams or in the moment APP scams."

In this case Mr R has evidenced that he has [medical issues] and has said this affected his ability to make clear decisions. He has also mentioned that he suffers from anxiety and depression and that he was not in a good place when the scam occurred. He's also said that he was a student and only worked part time, which is why the investment first appealed to him.

Having looked over the evidence Mr R has provided about his medical issues, I think it's more likely they would have affected his ability to make reasoned decisions and to protect himself against a socially engineered scam. From what I've seen, I think he generally would have been more trusting of the scammer than other consumers and looking at the communication between them, I can see he was quick to trust the scammer and follow their instructions, even when it meant being dishonest with the bank.

On balance, I think Mr R's personal circumstances would have made him more susceptible to falling victim to a scam of this nature, and I don't think it would be reasonable to expect him to protect himself against the APP scam he fell victim to. Based on what I've seen so far, I think Monzo is responsible for reimbursing Mr R for his losses due to the scam, under the provisions of the CRM Code.

I therefore currently think Monzo should reimburse Mr R in full and apply 8% interest from the date of the declined claim to the date of settlement.

Monzo responded and accepted my provisional findings and agreed to reimburse Mr R.

Mr R responded with concerns that Monzo would not agree to the refund. He also felt 8% simple interest was not sufficient, as he had been waiting a long time for a refund from Monzo and this had caused him distress, so he requested additional compensation.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I've considered Mr R's comments about the level of interest I recommended as well as his request for compensation. It is correct that, generally speaking, 8% simple interest is what we would consider to be a fair amount to apply to the reimbursement of lost funds. In Mr R's case, his ability to use the funds he lost to the scam was taken away from him, and the 8% simple interest goes some way to put him back into the position he would have been in had Monzo stopped the scam from occurring. This is because the interest is applied from the date of the loss to the date of the settlement and is generally a higher percentage of interest than he could find elsewhere if he had invested the funds. On balance, I think it is fair to apply this level of interest to Mr R's payments as well and I see no reason to stray from it.

I note that Monzo did pay Mr R £100 compensation for the delays in responding to his claim, and on balance this is in line with what I would have recommended in the circumstances had the complaint come to me with no offer on it. I appreciate Mr R's comments about the length of time our service has taken to look into the complaint, but in this decision, I am only able to

consider Monzo's actions.

With the above in mind, I am still of the opinion that Monzo should provide a full refund of the losses Mr R incurred as part of the scam, as well as 8% simple interest from the date of the transactions to the date of settlement.

My final decision

I uphold Mr R's complaint against Monzo Bank Ltd and recommend the redress outlined above.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr R to accept or reject my decision before 16 August 2024.

Rebecca Norris
Ombudsman